

# Money Talks. Now It Walks and Rides, Too. - RTC TrailBlog - Rails-to-Trails Conservancy

<http://community.railstotrails.org/blogs/trailblog/archive/2011/11/04/money-talks-now-it-walks-and-rides-too.aspx>

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Those of us who use trails regularly are aware of their value. It might mean a shorter commute to work, a convenient way to get exercise, or something less definable, the feeling of renewal you get after a long walk or ride.

But these days, when money is tight and [investment in trails and other infrastructure is under threat](#), all too often our elected officials and administrators want to know how to define the value of trails *economically*. How do miles of bike paths and walkways equal returns that can be measured in dollars and sense? "Give us some hard numbers," they say.

Luckily, those numbers are proving fairly easy to find. [New research released last month](#) by the University of Cincinnati proves that homebuyers will pay more for houses that are close to trails, increasing property values and in turn boosting the amount of property tax revenue for local governments.



The research, by planning professor Rainer vom Hofe and economics professor Olivier Parent, studied houses along Ohio's Little Miami Scenic Trail, a 78-mile rail-trail that cuts across the northeastern portion of Cincinnati. Parent and vom Hofe found that homebuyers were willing to pay a premium of \$9,000 to be within 1,000 feet of access to the trail.

"A bike trail like this has many types of returns," vom Hofe said in an interview at [www.theatlanticcities.com](http://www.theatlanticcities.com). "Residents can use it as a way to commute, and most people use it for recreation. For local governments, you can make a strong argument that they get back some of the money invested in these public amenities in the form of higher property taxes. We see positive spillover in more densely populated urban areas as well as less densely populated, suburban areas."

The research used street network distances between residential properties and the closest trail entrance, in addition to standard parameter estimation. The average home studied was about 40 years old and had an average 2,203 square feet of living space. The average price was \$263,517.

"This study estimates some compelling figures that should make any local government dependent on property tax revenue take a second look," says RTC's Research Manager Tracy Hadden Loh. "However, the return on investment the government receives for investing in green, active infrastructure goes far beyond just property values - we need more research measuring the health and mobility benefits of trails in order to completely quantify the total return on federal investment."

As a planner, vom Hofe says that even amid tough economic times and tough budget decisions by local governments, the research emphasizes that investment in infrastructure and public amenities is a solid investment that will result in a positive return for communities.



It is not the first time that independent research has quantified the positive impact that trails have on economic activity. A 2008 study by the National Association of Homebuilders found that trails were the number one amenity desired by potential new homebuyers. And trails are one local improvement project that voters



consistently support. A recent survey found that 66 percent of voters would support the imposition of additional sales tax if it was used to pay for trails and greenways.

The need to quantify the benefit of trails is a task the trails community is actively pursuing.

American Trails recently hosted a webinar on "[Making the Case for Trails in Tight Economic Times](#)," during which the testimony of real estate agents, tourism promoters, planners and small businesspeople all captured the huge role trails play as drivers of economic activity. The evidence is compelling and continues to grow, highlighting the inaccuracy of political claims that trails investment represents "frivolous spending."

Though the importance of trails to tourism is not a new concept, what is remarkable is the growing relationship of these pathways to real estate and small business development. The [Pedal to Properties](#) real estate franchise, which has grown from a handful of clients to 22 agencies in Colorado and California in just a few years, is built around a national trend that shows buyers are placing more importance on shorter commute times and finding a home near urban centers and public transportation. The buying experience even starts with a tour by bicycle.



On the GAP, the [Trail Town Program](#) is helping communities and businesses maximize the economic potential of the trail through grant and loan assistance, business training and technical support. As a result, since 2007 there's been an overall increase of 54 new and expanded trail-serving businesses, creating 83 new jobs in eight communities.

Rails-to-Trails Conservancy has been at the forefront of this effort. Our [groundbreaking surveys of the economic activity of trail users](#) in the Northeast and Midwest paved the way for communities all over America to state the case for trails using data, and dollars.

It is evidence that may be worth its weight in gold during the coming months, as legislators opposing trails and active transportation use erroneous economic arguments against what has proven to make a lot of economic sense.

*Top and bottom photos by Carl Knoch/RTC.*

*Center photo courtesy of Pulte Homes, Issaquah, Wash.*

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